

Consumer Electronics Market: The Indian Outlook



The Indian appliance and consumer electronics (ACE) market is largely driven by consumers' desire for the next big thing and constant innovation, which results in new devices and technologies that improve their lives and enable them to do things that were not possible before

consumer electronics. Preference for smart homes and smart offices is driving the growth of the industry. High-end products still have a long way to go to acquire a larger industry share in India.

Market opportunities

India has witnessed increasing technology penetration with a strong demand from such application areas as smart offices and smart homes, of which consumer electronics is an integral and important part. Moreover, increased manufacturing cost in China has made India a potential location for consumer electronics manufacturing.

Make in India policy of the government is attracting more investments in the consumer electronics industry. Of the total electronics industry in India, consumer electronics has around 9.5 per cent market share, with major adoption among the middle-income group.

According to Indian Brand Equity Foundation (IBEF) study, the Indian appliance and consumer electronics (ACE) market was at US\$ 31.48 billion in 2017, and it is expected to reach US\$ 48.37 billion in 2022 at a CAGR of nine per cent (Fig. 1).

The same study also mentions that overall consumer durable exports reached US\$ 0.78 billion in 2017. Consumer electronics exports from India reached US\$



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The Indian consumer electronics industry is evolving rapidly with increasing global trend of continuously inspiring excitement and capturing the imagination of consumers with new devices and technologies. For the last ten years, Indian consumers, especially the middle-class segment, have been showing a drastic change in lifestyle and buying preferences with a strong inclination towards consumer electronics products. This, in turn, has driven the global consumer electronics market including the Indian market.

Moreover, rising disposable income coupled with the need for Internet usage has further boosted the demand for smart



Fig. 1: The Indian appliance and consumer electronics market size (Source: IBEF)